

Serving the world's data needs

We gain some insight into how Seagate has evolved its product portfolio over the years

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d In your talk you'd mentioned that your sales numbers have shifted from being 50:50 (consumer:enterprise) a decade ago to being 70:30 currently. Has that changed your priority of resource allocation in terms of R&D and fulfilment?

Teh: I think the way that I would look at it, it's not so much of a priority to address the enterprise first, and then we address consumer. We will address everything equally. But it's actually more about the split of the resources. Like in the past, we'd have 50% of our resources focused on PCs, like 20 years ago. Today we'd probably have a lower percentage of the resources focused on PC and a higher percentage focused on enterprise. But it doesn't mean that PC is a lower priority. In order for us to be competitive, we still have to ensure that we've got a competitive product to service the PC market. It's just more about allocation of resources to align with what the market is like. So it's not so much a priority of what we do first but about where we invest.

d A couple of years back you had one brand of hard drives (Barracuda) for the consumer market and now you have a many more (FireCuda, Barracuda, Iron-Wolf, Night). How has this branching out into multiple sub-brands affected the way consumers view the segment?

Teh: Brandwise, we have three brands - Seagate, Maxtor and LaCie. With Maxtor, we use it almost exclusively



B.S. Teh, Senior Vice President, Global Sales and Sales Operations

in Europe. Maxtor and LaCie are more consumer devices. So these are at a higher level. What we did do was that a couple of years ago, we launched sub-brands to help consumers understand different applications of the product. So we launched what we call a Guardian series where, you know, we have SkyHawk for surveillance, and Iron-Hawk for NAS applications, and Exos for enterprise. Essentially it has been immensely successful for us because the feedback from our customers and resellers. In the past people were confused in terms of, well, do I use this drive for this application? Or do I use this for that? So when we launched the sub-brands it became a lot clearer for people to really understand what they usage a model is for and people are able to associate a certain sub-brand with a particular application. It's been very, very successful for us.

d Wouldn't it have been less confusing if there were fewer sub-brands and fewer options?

Teh: Usually, specific markets tar-

get specific drives. Take Skyhawk for example which is our surveillance drive. So then we have a series of Skyhawk drives. This sub-brand becomes synonymous with surveillance and within the surveillance community, they recognize Seagate Skyhawk drives. So it's more relatable and easier. Within SkyHawk we have SkyHawk AI and SkyHawk Light which are good for different purposes. Coming back to your questions, we target specific markets and this makes it a lot easier.

d Based on our interactions with our readers, we often get asked for recommendations for hard drives that our readers would like to buy. Of late, our readers have pointed out Backblaze statistics quite often. Sometimes, they notice that the drive we recommended has a higher failure rate as per Backblaze statistics. What is your take on Backblaze statistics?

Teh: I think part of it is education. With Backblaze, either because of ignorance, availability or cost, they were using client drives for an enterprise application. The workload ratings are very different for these. So you get all kinds of different failures. When that data gets published people get confused. So we've been working with companies such as Backblaze to help them understand the usage model and if you look at the recent Backblaze publications you will see a more accurate representation of the drive quality in general. Not just Seagate, but drives in general. In the past, Backblaze would have statistics which had a disparity which indicated that there was something wrong with either the way you are using the drives or with the data itself. So now if you look at Backblaze, the data is actually more moderated and you can tell which drives are more reliable and which ones aren't. **d**